IN THE BUSINESS AND PROPERTY COURTS IN BIRMINGHAM
CIRCUIT COMMERCIAL COURT (KBD)

Claim No. CC-2025-BHM-000142

B E T W E E N :

PENNINGTON INDUSTRIES LIMITED

Claimant

- and -

CROSSFIELD ENGINEERING LIMITED

Defendant

PARTICULARS OF CLAIM

The Parties

1. The Claimant, Pennington Industries Limited (company number 04821637) ("Pennington"), is a company incorporated in England and Wales which designs, manufactures and supplies industrial fluid-handling pumps and pumping systems from its works at 14 Faraday Court, Aston, Birmingham B7 4AA.

2. The Defendant, Crossfield Engineering Limited (company number 06337119) ("Crossfield"), is a company incorporated in England and Wales which carries on business as a precision sub-contract machinist and supplier of engineered components from Unit 5, Brindley Park, Coventry CV6 6PT.

The Agreement

3. By a written supply agreement dated 12 March 2024 (the "Agreement"), Crossfield agreed to manufacture and supply to Pennington, and Pennington agreed to purchase, precision-machined impeller housings bearing part number PX-440 (the "Housings") for incorporation into Pennington's PX-series industrial pumps.

4. The material terms of the Agreement included the following:

(a) by clause 3 and the Technical Specification at Schedule 1, the Housings were to be machined from grade 316L austenitic stainless steel and supplied within the dimensional tolerances stated in that specification, including a bore diameter of 84.00 mm with a tolerance of +0.00/−0.03 mm;

(b) by clause 7.1, Crossfield warranted that the goods would conform in all respects to the Technical Specification;

(c) by clause 7.2, Crossfield warranted that the goods would be free from defects in design (to the extent designed by Crossfield), materials and workmanship for a period of 24 months from delivery;

(d) by clause 7.3, Crossfield warranted that it would provide, on request, valid mill certificates evidencing the grade and composition of the steel used; and

(e) by clause 12, the Agreement was governed by English law and the parties submitted to the jurisdiction of the courts of England and Wales.

5. Further, there were implied into the Agreement the following terms:

(a) a term under section 13 of the Sale of Goods Act 1979 that the goods would correspond with their description (namely housings machined from grade 316L stainless steel to the Schedule 1 specification);

(b) a term under section 14(2) of the Sale of Goods Act 1979 that the goods would be of satisfactory quality; and

(c) a term under section 14(3) of the Sale of Goods Act 1979 that the goods would be reasonably fit for the purpose for which they were supplied, namely incorporation into pumps operating in corrosive process and marine environments, that purpose having been made known to Crossfield.

Performance and the Goods Supplied

6. Between April and July 2024 Crossfield delivered 4,200 Housings to Pennington against purchase orders PEN-PO-3391 to PEN-PO-3417. Pennington paid Crossfield's invoices in respect of those deliveries in the total sum of £214,830.

The Defects

7. In early August 2024 Pennington began to receive reports from customers of premature corrosion, pitting and seizure of PX-series pumps in service. Pennington quarantined its remaining stock of Housings and, on 28 August 2024, instructed Wraysbury Materials Laboratory to carry out independent metallurgical testing.

8. By its report dated 12 September 2024, Wraysbury Materials Laboratory found that a substantial proportion of the Housings tested had been machined from grade 430 ferritic stainless steel, and not from grade 316L as required, and that a number of Housings had bore diameters outside the permitted tolerance. Grade 430 is a magnetic, lower-cost alloy with markedly inferior resistance to pitting and crevice corrosion in chloride-bearing environments.

9. Pennington will rely on the Wraysbury report and on the mill and machining records (to be obtained on disclosure) for its full terms and effect.

Breach

10. In supplying Housings that were machined from grade 430 rather than grade 316L stainless steel, and a number of which were outside the dimensional tolerance, Crossfield acted in breach of the express terms of the Agreement pleaded at paragraph 5 above and of the terms implied by sections 13, 14(2) and 14(3) of the Sale of Goods Act 1979 pleaded at paragraph 6 above.

Causation, Loss and Damage

11. By reason of the said breaches, the Housings corroded and failed in service, and Pennington has suffered loss and damage. The corrosion failures were the direct and natural consequence of the substitution of grade 430 for grade 316L steel, that grade being unsuitable for the operating environment that had been made known to Crossfield.

12. Pennington's loss and damage, particularised in the Schedule of Loss served with these Particulars of Claim, is as follows:

Head of loss	Amount (£)
Cost of replacement conforming components (supplier premium)	612,400
Recall and rebuild of pumps already shipped to customers	548,900
Lost production — Assembly Line 3 (six-week shutdown)	742,000
Remedial inspection and rework	318,600
Wasted management and staff time	96,400
Additional carriage and logistics	41,300
Total	2,359,600

13. Pennington took all reasonable steps to mitigate its loss, including sourcing replacement conforming components from an alternative supplier on the shortest reasonably available lead time and prioritising the rebuild of affected customer units. The losses claimed are direct losses arising naturally from the breaches and are not within any exclusion in the Agreement.

Interest

14. Pennington claims interest on the sums found due pursuant to section 35A of the Senior Courts Act 1981 at such rate and for such period as the Court thinks fit. Further or alternatively, Pennington claims interest as a head of loss at the rate of 4 per cent per annum above the Bank of England base rate from the date of each loss until judgment or sooner payment.

AND the Claimant claims:

(a) Damages in the sum of £2,359,600;

(b) Interest pursuant to section 35A of the Senior Courts Act 1981 to be assessed;

(c) Costs; and

(d) Further or other relief.

HARRIET STANFORD

Eldon Chambers

STATEMENT OF TRUTH

The Claimant believes that the facts stated in this Particulars of Claim are true. The Claimant understands that proceedings for contempt of court may be brought against anyone who makes, or causes to be made, a false statement in a document verified by a statement of truth without an honest belief in its truth.

Signed: …….

Name: Sarah Whitfield

Position: Partner

Whitfield Carter LLP, solicitors for the Claimant

Dated: —— February 2025